

AP Macro- economics: The Complete Exam Guide

All 6 units explained, every graph you must draw, the long and short free-response questions, and 10 hard practice questions.

Hi, I'm **Pigo!** I'll drop tips all through this guide.



2:10

hours total
70 + 60 minutes

60+3

multiple-choice +
free-response questions

6 units

scarcity to
open economy

66–67%

scored 3 or higher
in recent years

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01 THE EXAM AT A GLANCE

Two sections, one score

Your AP score (1–5) is weighted towards multiple choice (about two-thirds). The free-response section is short but graph-heavy, so drawing correct graphs is essential.

66%

Section I · Multiple choice · 60 questions

33%

Section II · Free response · 3 questions

Exam structure

Section	Weight & timing	What you do
I · Multiple choice	≈66% of score 1 hr 10 min 60 questions	Define principles, explain outcomes and determine the results of scenarios, often using graphs and tables.
II · Free response	≈33% of score 1 hour (incl. 10-min reading) 3 questions	1 long question (half of the section score) and 2 short questions (a quarter each). Make assertions, explain, calculate and draw graphs.

HYBRID DIGITAL

Click in Bluebook, write on paper

You answer multiple-choice questions and read the free-response questions in the **Bluebook** app, then handwrite your free-response answers in a paper booklet. Practice writing clear, organized work by hand.

CALCULATOR

Four-function calculator allowed

A **four-function calculator** is permitted on both sections. Most calculations are simple; the hard part is knowing which formula applies.

How to use this guide

Just starting?

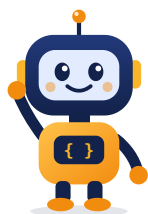
Read pages 2–6, then follow the roadmap on page 8 month by month.

Mid-year?

Check the traps on page 7 and drill the free-response playbook on page 6.

Exam in weeks?

Take the 10 questions on page 9 in 13 minutes, then use the final-four-weeks plan.



Pigo's tip: Economics answers follow a **chain**: "X changes, so Y shifts, so price and quantity move...". Practice writing every link.

SECTION I

02 The multiple-choice section

60 questions in 70 minutes gives you 1 minute 10 seconds per question.
Sketch a quick graph in the scratch area for any shift question.

60

questions, many with graphs

1:10

minutes per question on average

66%

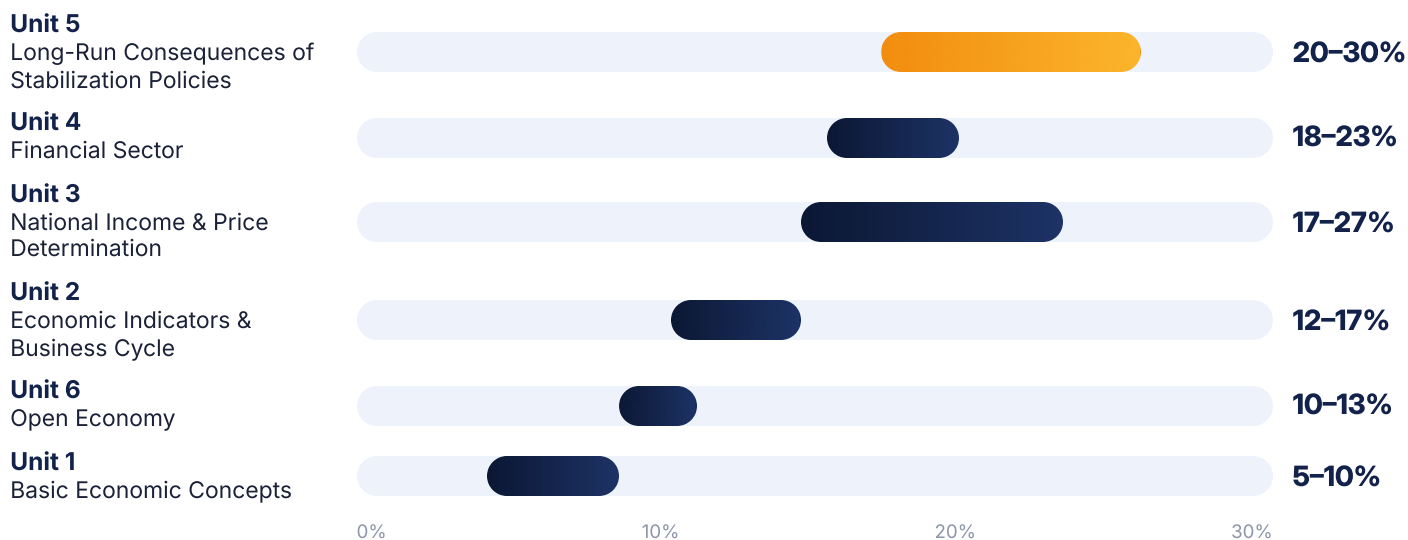
of your total AP score

0

points lost for a wrong answer, so never leave one blank

How the questions are weighted by unit

College Board gives a range for each unit's share of the exam. Bars show minimum to maximum.



What this means for your study time: Units 3–5 (AD-AS, money and banking, and policy) make up most of the exam. Master the AD-AS and money market graphs first.

Strategies that work on this section

- Draw the graph for every shift question, even a rough one, and label which curve moves.
- Separate shifts from movements: a price change moves along a curve; other factors shift it.
- Watch "ceteris paribus": change only what the question says changed.
- Use formulas quickly and estimate where you can.
- Check signs and directions: an increase vs a decrease is where most errors happen.
- Move on at 90 seconds and come back to flagged questions.

03 WHAT THE COURSE COVERS

The 6 units, in plain English

Everything on the exam fits into these six units.

UNIT 1 5–10%	Basic Economic Concepts Be ready to: explain scarcity and opportunity cost; production possibilities curves; comparative advantage; supply, demand and market equilibrium.	UNIT 2 12–17%	Economic Indicators & the Business Cycle Be ready to: calculate GDP, real vs nominal GDP and the GDP deflator; unemployment rate and types; CPI and inflation; describe the business cycle.
UNIT 3 17–27%	National Income & Price Determination Be ready to: use aggregate demand and supply; short-run and long-run equilibrium; spending and tax multipliers; recessionary and inflationary gaps; fiscal policy.	UNIT 4 18–23%	Financial Sector Be ready to: explain money and its functions; bank balance sheets and the money multiplier; the money market and loanable funds market; monetary policy tools.
UNIT 5 20–30%	Long-Run Consequences of Stabilization Policies Be ready to: combine fiscal and monetary policy; the Phillips curve; money growth and inflation; government deficits, debt and crowding out; economic growth.	UNIT 6 10–13%	Open Economy: International Trade & Finance Be ready to: use balance of payments accounts; the foreign exchange market; how interest rates and policy affect exchange rates and net exports.

◆ The graphs you must draw from memory

PPC Opportunity cost and growth	AD-AS Short-run and long-run equilibrium, gaps	Money market Money supply and demand, nominal interest rate	Loanable funds Real interest rate, crowding out
Phillips curve Inflation vs unemployment, short and long run	Foreign exchange Currency supply and demand, appreciation	Supply & demand Market equilibrium and shifts	Tip Label every axis and curve, every time

SECTION II

04

The 3 free-response questions

One hour, including a 10-minute reading period, for 1 long and 2 short questions. Graphs earn many of the points.

Long Q · 50%

Short · 25%

Short · 25%

Long question = half of the free-response score; each short = a quarter

Long

Long question

~25 minutes

A multi-part scenario, usually about an economy in a recession or inflationary gap. Draw AD-AS, choose a policy, and trace its effects through the money market, loanable funds or foreign exchange.

Draw one large, clearly labeled graph and reuse it for later parts.

Short

Two short questions

~12 minutes each

Focused questions on one area, such as a bank balance sheet calculation, the Phillips curve, or the foreign exchange market.

Each part asks for one thing. Answer it directly, then explain.

Graph

Graph rules

Where points are won

Label both axes, every curve, and equilibrium values (P_1 , Q_1). Show shifts with arrows and new labels (P_2 , Q_2).

An unlabeled graph usually earns no points, even if it is shaped correctly.

Why

Explain parts

Show the cause

When asked to explain, give the economic reason, not just the result: "because the cost of borrowing falls...".

Results alone earn the "identify" point but not the "explain" point.

◆ A time plan for the 60 minutes

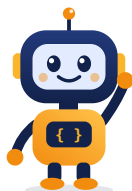
Reading
10 min

Long question
~25 min

Short 1
~12 min

Short 2
~13 min

A suggested split, not a rule. Start with the question type you're strongest at, and never leave a question blank.



Use the **reading period** to plan graphs. You can start writing as soon as it ends.

FREE-RESPONSE PLAYBOOK

05

Anatomy of a full-credit answer

Here is a practice question with a full-credit answer, and the habits that earn points.

PRACTICE TASK • WRITTEN BY ACT SAT GO

Practice prompt (long-question style): An economy is in long-run equilibrium. Consumer confidence then falls sharply. (a) Draw a correctly labeled AD-AS graph showing the short-run effect. (b) Identify an open-market operation the central bank could use to close the gap. (c) Explain how that policy affects the nominal interest rate and real output.

Full-credit response

- ① (a) Graph: axes labeled Price Level and Real GDP; AD, SRAS and a vertical LRAS at Y_f . AD shifts left to AD_2 ; new equilibrium at a lower price level PL_2 and output Y_2 , which is below Y_f .
- ② (b) The central bank should **buy government bonds**.
- ③ (c) Buying bonds increases bank reserves and the money supply, so the nominal interest rate falls.
- ④ Lower interest rates increase investment and interest-sensitive consumption, shifting AD to the right and increasing real output toward Y_f .

- ① **Label everything:** axes, curves, the shift and the new equilibrium.
- ② **Name a specific tool:** buying bonds, not just "expansionary policy".
- ③ **Show the mechanism:** reserves → money supply → interest rate.
- ④ **Finish the chain:** interest rate → investment → AD → output.

Five habits for every free-response question

1

Label every axis, curve and equilibrium.

2

Show shifts with arrows and new labels (P_2 , Q_2).

3

Answer each part separately and in order.

4

Explain the cause, not just the result.

5

Stuck? A correctly labeled graph still earns points.

06 LEARN FROM OTHERS

10 traps that cost points

Meet **Glitch**. He lives in these ten mistakes.
Squash each one before May.

Fiscal policy is set by
the **central bank!**
(Nope.)



01 Fiscal vs monetary

Fiscal policy is government spending and taxes (Congress and the President). Monetary policy is the money supply and interest rates (the Fed).

02 Nominal vs real

Real values adjust for inflation. Real interest rate $\approx$ nominal rate – inflation.

03 Movement vs shift of AD

A change in the price level moves along AD. Changes in C, I, G or net exports shift it.

04 Money market vs loanable funds

The money market sets the nominal rate (money supply and demand). Loanable funds sets the real rate (saving and borrowing).

05 Money multiplier

Money multiplier = $1 \div$ reserve requirement. It applies to excess reserves, not total deposits.

06 Tax multiplier

The tax multiplier is $-MPC/MPS$, smaller in absolute value than the spending multiplier.

07 Long-run vs short-run Phillips curve

The long-run Phillips curve is vertical at the natural rate of unemployment.

08 Crowding out

Government borrowing raises the real interest rate in the loanable funds market, reducing private investment.

09 Appreciation effects

A stronger currency makes exports more expensive and imports cheaper, so net exports fall.

10 Unlabeled graphs

An unlabeled or mislabeled graph usually earns no points.

Quick self-check: if $MPC = 0.8$ and government spending rises by \$10 billion, what is the maximum change in real GDP? (Multiplier = $1/0.2 = 5$, so \$50 billion.)

07

PLAN YOUR YEAR

Your study roadmap to May

A steady plan beats a last-minute rush. Shift the months to match your teacher's pacing, and draw graphs from memory every week.



Sep – Oct
Foundations



Units 1–2

Scarcity, PPCs, supply and demand, GDP, unemployment and inflation.

Nov – Dec
AD-AS



Unit 3

core graph

Aggregate demand and supply, gaps, multipliers and fiscal policy. Draw AD-AS from memory daily.

Jan – Feb
Money



Unit 4

Banks, money creation, the money market and monetary policy. Start one free-response question per week.

Mar – Apr
Policy + open economy



Units 5–6

Phillips curve, deficits, crowding out and exchange rates. Begin full timed sections.

Early May
Sharpen



Graph drills

Draw all seven graphs from memory and trace policy chains. Review the traps list.

Exam day
May



AP Macroeconomics exam

Sleep well, pack your calculator and pens, and use the checklist at the end.

The final four weeks

Week	Focus	Target
4 weeks out	Diagnose: 30 multiple-choice questions plus one long free-response question	List your two weakest units
3 weeks out	Drill graphs: draw every course graph from memory	All labels correct
2 weeks out	Full practice exam under timing	Finish both sections on time
Final week	Light review: formulas, graphs, traps list	Rest the night before

08 TEST YOURSELF 10 practice questions

Original questions written by ACT SAT GO in the style of the exam, pitched at the harder end. Give yourself **13 minutes** for all ten, then check page 10.

1 UNIT 3 • MULTIPLIERS

If the MPC is 0.8, what is the maximum change in real GDP from a \$20 billion **increase in taxes**?

- A An \$80 billion decrease
- B A \$100 billion decrease
- C A \$20 billion decrease
- D A \$16 billion decrease

2 UNIT 4 • MONEY CREATION

A bank receives a \$1,000 cash deposit. The reserve requirement is 10%. What is the maximum increase in the money supply from new loans across the banking system?

- A \$900
- B \$1,000
- C \$9,000
- D \$10,000

3 UNIT 2 • INDICATORS

Nominal GDP is \$1,200 billion and real GDP is \$1,000 billion. What is the GDP deflator?

- A 83.3
- B 100
- C 120
- D 200

4 UNIT 2 • UNEMPLOYMENT

A worker loses her job because robots replace her factory role, and her skills don't match available jobs. This is:

- A frictional unemployment
- B structural unemployment
- C cyclical unemployment
- D seasonal unemployment

5 UNIT 4 • MONETARY POLICY

To fight inflation, a central bank sells government bonds. What happens in the money market and to investment?

- A Money supply rises, interest rate falls, investment rises
- B Money demand falls, interest rate falls, investment rises
- C Money supply falls, interest rate falls, investment rises
- D Money supply falls, interest rate rises, investment falls

6 UNIT 5 • CROWDING OUT

The government runs a larger deficit financed by borrowing. In the loanable funds market, what happens?

- A Demand for loanable funds rises; real interest rate rises
- B Supply of loanable funds rises; real interest rate falls
- C Demand for loanable funds falls; real interest rate falls
- D Nothing changes

7 UNIT 5 • PHILLIPS CURVE

An adverse supply shock (such as a sharp rise in oil prices) causes the short-run Phillips curve to:

- A shift left
- B shift right
- C stay the same, with movement up along it
- D become vertical

8 UNIT 6 • EXCHANGE RATES

If U.S. interest rates rise relative to other countries', what happens to the U.S. dollar and net exports?

- A The dollar depreciates; net exports rise
- B The dollar appreciates; net exports rise
- C There is no effect on the dollar
- D The dollar appreciates; net exports fall

9 UNIT 2 • REAL INTEREST

A bank charges a nominal interest rate of 7%. Expected inflation is 3%, but actual inflation turns out to be 5%. Who benefits?

- A The bank, because the real rate is higher than expected
- B The borrower, because the real rate is lower than expected
- C Neither; the nominal rate is fixed
- D Both equally

10 UNIT 3 • LONG RUN

An economy is in a recessionary gap and no policy action is taken. In the long run, what restores full employment?

- A Nominal wages fall, shifting SRAS right
- B AD shifts right automatically
- C LRAS shifts left
- D Inflation rises

09

CHECK YOUR WORK

Answer key & explanations

Read every explanation, even for questions you got right. Each one points to a pattern that keeps coming back on the exam.

#	Answer	Why
1	A	Tax multiplier = $-MPC/MPS = -0.8/0.2 = -4$. $-4 \times \$20 \text{ billion} = \text{an } \$80 \text{ billion decrease}$. Choice B uses the spending multiplier.
2	C • \$9,000	Required reserves are \$100, so excess reserves are \$900. Money multiplier = $1/0.1 = 10$. $\$900 \times 10 = \$9,000$ in new loans. (The \$1,000 deposit itself doesn't change M1.)
3	C • 120	GDP deflator = $\text{nominal} \div \text{real} \times 100 = 1,200/1,000 \times 100 = 120$.
4	B	Structural unemployment comes from a mismatch between workers' skills and available jobs, often caused by technology.
5	D	Selling bonds removes reserves, reducing the money supply. The nominal interest rate rises, and investment falls.
6	A	Government borrowing increases demand for loanable funds, raising the real interest rate and crowding out private investment.
7	B	A negative supply shock raises both inflation and unemployment, shifting the short-run Phillips curve to the right.
8	D	Higher interest rates attract foreign financial investment, increasing demand for dollars. The dollar appreciates, making exports dearer and imports cheaper.
9	B	Expected real rate = 4%, actual real rate = 2%. Unexpected inflation helps borrowers, who repay with less valuable money.
10	A	In the long run, lower nominal wages and input prices shift SRAS right, returning output to full employment at a lower price level.

9–10

Strong. Move on to full timed free-response practice.

6–8

On track. Revisit the unit behind every miss on page 4.

0–5

Build foundations now. Draw AD-AS and the money market from memory until they are automatic.

10 KNOW THE TARGET

How students score

In recent years, about 66–67% of students earned a 3 or higher on AP Macroeconomics, and about 19–20% earned a 5. Steady preparation is what moves a score up a full point.

66–67%

of students earned a 3 or higher in recent years

19–20%

earned the top score of 5 in recent years

3+

is the score many colleges accept for credit or placement

What each AP score means

5

Extremely well qualified

4

Very well qualified

3

Qualified

2

Possibly qualified

1

No recommendation

Ranges reflect recent College Board score distributions and shift a little each year. Credit and placement policies vary by college, so check each college's AP policy.

Exam-day checklist

- ☐ **Bluebook** is installed and updated, and your device passed the exam check
- ☐ Device **fully charged**, plus **two pencils and a dark-ink pen** for the free-response booklet
- ☐ Admission ticket and photo ID, as your school requires
- ☐ Confirm your **exam day and start time** in May with your AP coordinator
- ☐ A **four-function calculator** with fresh batteries
- ☐ Plan your time: about **70 s** per multiple-choice question; **~25 min** for the long and **~12 min** per short free-response question
- ☐ Answer **every** multiple-choice question. Wrong answers don't lose points
- ☐ A **ruler** for neat graphs, if permitted

In the free-response section: draw large, fully labeled graphs, show every shift with arrows and new labels, answer each part in order, and explain the economic cause behind each result.



ACT SAT GO • 1-ON-1 AP TUTORING

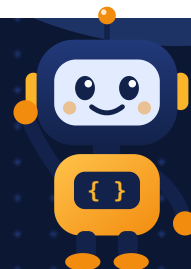
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◆ Contact us

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